

trials. From the prewar standpoint, although one of these reasons may have been more intelligent or creditable than another, each of them constituted a *speculative* motive for the purchase.

Technique of Investing in Common Stocks Resembled That for Bonds. Evidently there was a close similarity between the technique of investing in common stocks and that of investing in bonds. The common-stock investor, also, wanted a stable business and one showing an adequate margin of earnings over dividend requirements. Naturally he had to content himself with a smaller margin of safety than he would demand of a bond, a disadvantage that was offset by a larger income return (6% was standard on a good common stock compared with $4\frac{1}{2}\%$ on a high-grade bond), by the chance of an increased dividend if the business continued to prosper, and—generally of least importance in his eyes—by the possibility of a profit. A common-stock investor was likely to consider himself as in no very different position from that of a purchaser of second-grade bonds; essentially his venture amounted to sacrificing a certain *degree* of safety in return for larger income. The Pennsylvania and Atchison examples during the 1904–1913 decade will supply specific confirmation of the foregoing description.

Buying Common Stocks Viewed as Taking a Share in a Business. Another useful approach to the attitude of the prewar common-stock investor is from the standpoint of taking an interest in a private business. The typical common-stock investor was a business man, and it seemed sensible to him to value any corporate enterprise in much the same manner as he would value his own business. This meant that he gave at least as much attention to the asset values behind the shares as he did to their earnings records. It is essential to bear in mind the fact that a private business has always been valued primarily on the basis of the “net worth” as shown by its statement. A man contemplating the purchase of a partnership or stock interest in a private undertaking will always start with the value of that interest as shown “on the books,” *i.e.*, the balance sheet, and will then consider whether or not the record and prospects are good enough to make such a commitment attractive. An interest in a private business may of course be sold for more or less than its proportionate asset value; but the book value is still invariably the starting point of the calculation, and the deal is finally made and viewed in terms of the premium or discount from book value involved.